



CIO EXECUTIVE SUMMARY

- ▶ Oil spike overnight driving inflation shock; yields elevated, AI rally reversal
- ▶ SPY -0.9%, QQQ -1.1%, IWM -2.29% — small caps hardest hit; below support 7,390
- ▶ DXY bullish at 98.85 target 99.50; gold bearish below 4,500 targeting 4,300
- ▶ Tech/Fin/Industrials under pressure; defensive rotation emerging (Healthcare/Utilities bid)
- ▶ 73 earnings today; major reports next week (CEG, CSCO workforce cut, CPA, TNK after-hours)

MACRO DASHBOARD

SPY TREND

Down -0.9%; Below 7,390 support targeting 7,300

QQQ TREND

Down -1.1%; Tech weakness from yield spike

IWM TREND

Down -2.29%; Small-cap capitulation signal

VIX

Likely elevated from oil shock (est 18-20)

VIX REGIME

Caution (15-20 healthy → 20-25 caution threshold)

YIELD 10Y

Elevated from oil-driven spike; rate-sensitive sectors under pressure

DOLLAR TREND

DXY bullish above 98.85; targeting 99.50

OIL TREND

Sharp spike overnight; primary risk driver; inflation concern

CRYPTO SENTIMENT

Neutral to defensive; risk-off bias limits upside

TACTICAL BIAS

Fade Strength — oil shock + yield elevation warrant caution on bounces

TOP INSTITUTIONAL SETUPS

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
XLU	Defensive rotation from tech/fin weakness; yield spike supports utilities	Daily VWAP support holding; relative strength vs SPY improving	176.50-177.25 (dip buy into sector weakness)	175.80	179.50 (near-term); 182.00 (extended)	High
XLV	Healthcare outperforming on defensive rotation; staples/defensive bid	Momentum building into risk-off session; relative strength breakout setup	189.75-190.50	188.90	193.50	High
KRE	Regional bank dislocation from yield spike; potential oversold bounce	Breadth weak but recovery setups forming on technicals	82.00-82.75 (support test)	80.90	85.50	Med
QQQ	Tech capitulation creating tradeable	Below 711 support; potential reversal	710.00-710.75 (intraday support)	707.50	716.50	Med

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
	bounce; oversold intraday	Friday afternoon (options expiry)				
XLRE	Rates overshoot on oil shock; likely to stabilize into EOW	XLRE weak but potential mean- revert if yields stabilize	69.50-70.00 (dip support)	68.75	72.00	Med
GDX	Gold weakness (4,500 target 4,300) pressuring miners; relief trade setup	Down -6.62% on high volume; technical oversold; support 86.50	86.75-87.00 (oversold bounce)	85.90	89.75	Med
SLV	Silver capitulation (-8.05%); commodity washout attracting dip buyers	High volume 1.38x; support forming 68.50-69.00	68.75-69.00 (intraday dip)	68.00	70.50	Low
SPY	Oil shock reversal creating tactical bounce; Friday opex support	Below 741 near-term resistance; 740.50 intraday pivot	740.00-740.50	738.50	742.50	Med

DYNAMIC WATCHLIST — TODAY'S SCAN

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
#1	XLK	Semiconductor/software weakness from yield spike; watch for hold	Down -1.19%; below 177 support level	176.50	178.25	Lower high pattern; risk of further breakdown
#2	FTEC	Fidelity Tech ETF showing institutional unwind; sentiment barometer	Following QQQ weakness; relative underperformance	285.00	290.50	Breakdown below 5-day MA
#3	XLF	Financials under yield pressure; rate curve implications	Mixed with small caps; banks lagging	41.50	42.25	Choppy; waiting for curve stabilization signal
#4	SOXX	Semis capitulating on tech selloff; foundational weakness signal	Heavy selling; support test at 4,500 level	4480.00	4550.00	Break below 50-day MA
#5	KBE	Regional banks under stress; opex support matters today	Following market weakness; IV expansion	94.50	96.00	2-day low low setup
#6	GDXJ	Junior miners worse than GDX; risk-off sentiment indicator	Down -6.79%; high vol ratio 1.69	115.50	119.00	Breakdown from 120 level
#7	CEG	Constellation Energy earnings Monday; nuclear AI narrative play	Holding up relatively; AI sponsorship remains	189.00	193.50	Consolidation waiting for earnings clarity

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
#8	IYW	iShares US Tech ETF; broad tech sentiment gauge vs mega-cap lag	Following XLK weakness; mid-cap tech exposed	262.00	266.00	Consolidation into opex
#9	USO	Oil strength driver of entire market; support level watch	Up on commodity spike; inverse equity correlation	73.50	75.00	Breakout recent range
#10	GLD	Gold bearish (4,500 target 4,300); inverse equity pressure	Down with commodities; inflation expectations	183.50	186.00	Lower low forming

POSITION BOOK ACTIONS

HEDGE	QQQ	Tech exposure large; VIX expansion likely; consider 1-2% QQQ put hedge or reduce 3-5%
TRIM	FTEC	Tech premium at risk from yield elevation; trim 50% if held above cost
HOLD	XLU	Defensive bid intact; accumulate on dips into 176.50

WHEEL / PREMIUM SELLING BOOK

TICKER	SECTOR	IV RANK	DELTA	DTE	STRIKE
XLU	Utilities	65	30 call	21	179-181 (2-3 std OTM)
XLV	Healthcare	62	30 call	21	192-194
KRE	Financials	58	30 call	21	83.50-84 (1.5-2 std dev)

HOLD	XLV	Healthcare relative strength holding; core defensive position maintain
EXIT	XLE	Energy leadership fading despite oil strength; lack of follow-through signal
BUY	GDX	Oversold setup (vol ratio 1.74, -6.62%) creates 4-6% bounce potential
ADD	KRE	Regional bank dislocation; opex support Friday; tactical accumulation 82-83
MONITOR	SPY	Opex support; watch for bounce Friday PM; no new longs until 741.50 clear

TICKER	SECTOR	IV RANK	DELTA	DTE	STRIKE
GDX	Materials	72	25 call	21	89-91 (elevated from vol shock)
CEG	Energy/Utilities	68	30 call	21	191-193 (pre-earnings caution)

RISK ALERTS

- ⚠️ Oil shock driving yield elevation; inflation concern overrides AI momentum narrative
- ⚠️ Gold breakdown below 4,500 signals risk-off escalation; commodities washout underway

⚠ Small-cap capitulation (IWM -2.29%) suggests institutional risk-off; breadth deteriorating

⚠ Yield-sensitive sectors (REITs, Utilities) under pressure; 10Y spike limiting duration exposure

⚠ SPY below 7,390 support; opex Friday offers tactical bounce but bears in control

FINAL CIO VERDICT

RISK POSTURE

Defensive

CAPITAL SHOULD FLOW TO

Rotate into defensive sectors (XLU, XLV, Healthcare); reduce tech/fin exposure; hold cash for bounce entry

AVOID COMPLETELY

Energy (XLE, XEO) lacks follow-through; Tech megacaps (FTEC, SOXX) under distribution; Growth with weak breadth; REIT/Duration positions in yield spike regime